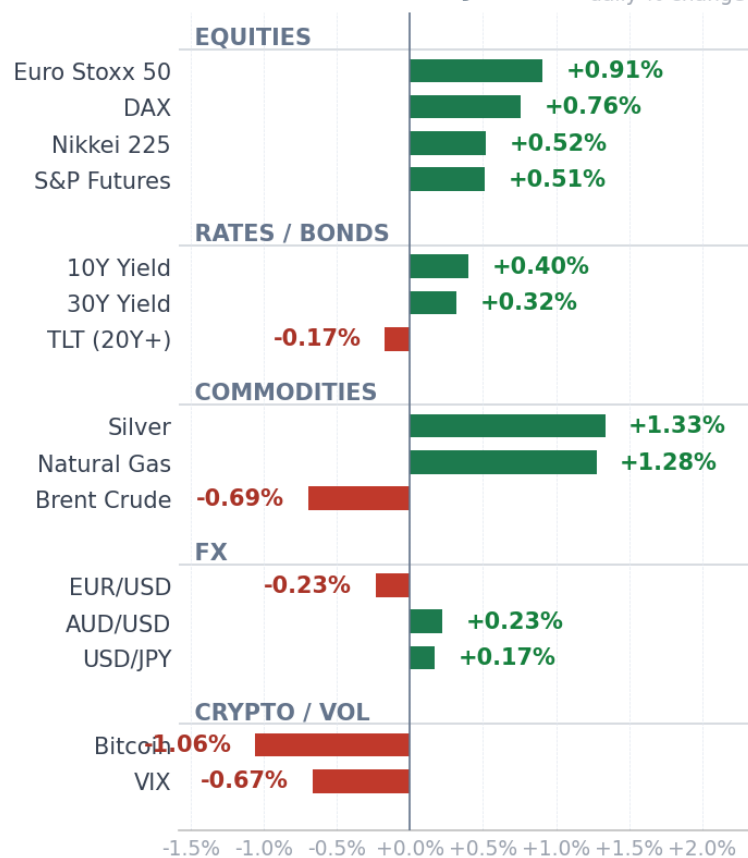


Wednesday, May 13, 2026

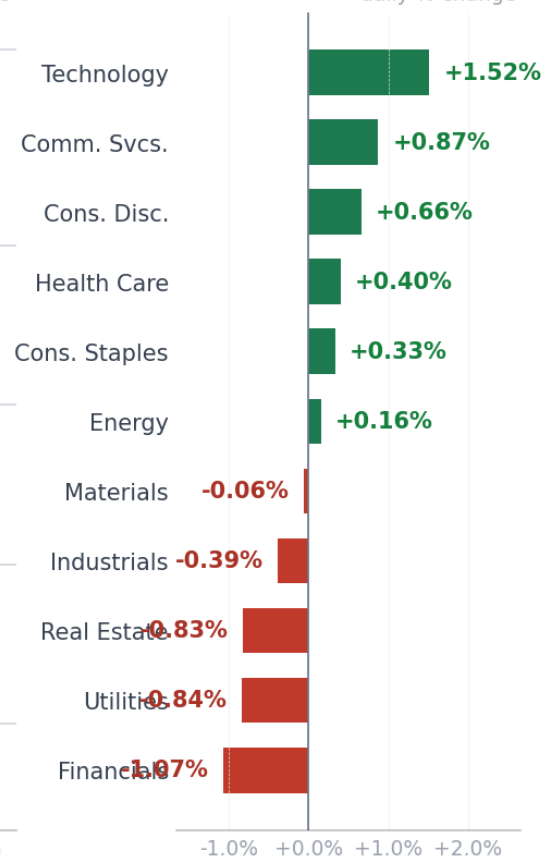
Generated: Wednesday, May 13, 2026 at 4:51 pm ET

S&P 500	NASDAQ	10Y YIELD	VIX	WTI CRUDE	GOLD
7,444	29,367	4.481%	17.87	101.18	4,701
+0.58%	+1.04%	+0.40%	-0.67%	+0.10%	-0.04%

Market Moves — by Asset Class



Sector ETF Performance



Morning Thesis

Nasdaq rallied +1.04% on AI euphoria and earnings beats, but wholesale inflation surged 1.4% (vs. 0.5% expected), pushing the 10-year yield to a 2026 peak of 4.481%—a fragile balance between growth enthusiasm and Fed tightness that will break at Friday's CPI print.

Recruiting Angle

What Happened + Why

April wholesale prices jumped 1.4% versus 0.5% consensus, pushing the 10-year Treasury yield to a 2026 peak of 4.481% and mortgage rates to 6.57%—yet the Nasdaq still rallied +1.04% as Cisco's 11% surge, Tower Semiconductor's \$1.3B AI photonics contract, and BofA's Micron target hike to \$950 reinforced the AI earnings narrative. The split outcome reflects a duration shock hitting rate-sensitive sectors (XLF -1.07%, XLRE -0.83%, XLU -0.84%) while tech earnings beats absorbed the yield repricing in a single session.

The Interview Talking Point

"Today's tape is the cleanest example of bifurcated rate sensitivity I've seen in 2026—PPI surprised 90 basis points hot, the 10-year hit a year-to-date peak at 4.481%, and yet Tech led at +1.52% because Cisco, Tower, and Micron delivered AI capex confirmation that mathematically out-earned the discount-rate move. The tell is HY OAS at 2.82%: credit isn't validating the equity sell-off in Financials, which means Friday's Core CPI is the real arbiter of whether this rally has legs."

The Causal Chain

April PPI 1.4% vs. 0.5% expected → 10Y yields repricing to 4.481% (2026 high) → mortgage rates spike to 6.57% + curve steepens (30Y at 5.047%) → Financials (-1.07%), Utilities (-0.84%), Real Estate (-0.83%) compress on duration shock → Cisco/Tower/Micron earnings beats offset rate headwind for Tech (+1.52%) → HY OAS holds at 2.82% despite equity sector divergence → setup for Friday's Core CPI as the resolution catalyst before May 19 FOMC and Warsh's first dot plot.

What Most Candidates Miss

Most candidates will say "rates went up so growth stocks should have fallen"—repeating the textbook duration argument and missing what actually happened. The sophisticated read is that the equity-credit divergence is the real signal: XLF sold off -1.07% while HY OAS stayed at 2.82%, meaning credit markets are not pricing the rate move as a credit event, so the rally's fragility lives in whether Friday's CPI forces spreads wider—not in today's yield print itself.

Key Takeaways

Tech strength (+1.52%) masked a brutal inflation surprise: wholesale prices jumped 1.4% vs. 0.5% expected, sending 10Y yields to a 2026 peak of 4.481%. Only 6 of 11 sectors advanced—narrow breadth. The yield curve remains normal (+0.881% 3M-10Y), but steepening suggests persistent inflation expectations. Credit spreads stayed benign (HY OAS 2.82%), signaling markets trust earnings growth will outpace rate headwinds—a bet Friday's CPI and the May 19 FOMC decision will severely

test.

What Moved

Asset	Price	Change	Note
Nasdaq 100	29,366.94	+1.04%	AI sentiment; Cisco +11%, Tower guidance raised
Silver	88.4400	+1.33%	Safe-haven vs. growth bets
S&P 500	7,444.25	+0.58%	Tech +1.52% leads narrow breadth
Natural Gas	2.8570	+1.28%	Geopolitical premium persists
10Y Yield	4.4810	+0.40%	New 2026 high on hot PPI
30Y Yield	5.0470	+0.32%	Curve steepens
Brent Crude	105.79	-0.69%	Demand concerns offset geopolitics
Dow	49,693.20	-0.14%	Financials -1.07% under rate pressure
Russell 2000	2,843.93	+0.04%	Small-cap underperformance
DXY Dollar	98.4820	+0.17%	Modest carry strength
VIX	17.8700	-0.67%	Volatility collapses into rally
Gold	4,700.90	-0.04%	Yields trump safe-haven
WTI Crude	101.18	+0.10%	Geopolitical support intact
Bitcoin	79,634.26	-1.06%	Macro headwind

What Drove It

Inflation Shock & Fed Regime Shift - Wholesale prices surged 1.4% in April vs. consensus 0.5%—largest monthly jump since 2022—pushing the 10-year to a new 2026 peak at 4.481% and mortgage rates to 6.57% (15 basis points higher than last Friday) [CNBC via StockNewsAPI] - Kevin Warsh confirmed as next Fed chair in the "most divisive vote ever" on the same day inflation accelerates, creating a timing squeeze: the incoming leader faces immediate proof-of-strength requirements, yet his stated focus on structural balance-sheet reform (not stimulus) may constrain rate-cut prospects [CNBC via StockNewsAPI] - The 30-year yield climbed to 5.047%, signaling steepening curve and market expectations for prolonged inflation persistence [Market Data]

Tech Earnings & AI Euphoria - Cisco surged 11% on earnings beat and strong guidance, reassuring investors the company can compete in AI data centers despite prior skepticism [StockNewsAPI] - Tower Semiconductor announced \$1.3 billion in Silicon Photonics contracts for 2027 and beat Q1 expectations, raising Q2 2026 revenue to record levels driven by AI infrastructure demand [StockNewsAPI] - Micron rallied on Bank of America raising the price target from \$500 to \$950, reflecting conviction that high-performance AI memory commands premium valuations [StockNewsAPI] - Private AI funding accelerated: Anthropic seeking at least \$30B (targeting \$900B+ valuation), Anduril raising \$5B at \$61B valuation, Nebius reporting 684% YoY Q1 growth [StockNewsAPI]

Geopolitics & Trade Negotiations - President Trump arrived in Beijing with Nvidia CEO Jensen Huang and Tesla CEO Elon Musk for high-stakes negotiations on tariff reductions (\$30B in non-sensitive goods) and AI control, underlining tech supply chain centrality [CNBC / Reuters via StockNewsAPI] - SoftBank posted record quarterly profit (1.9 trillion yen / \$12.05B), substantially boosted by gains from its OpenAI investment, demonstrating AI-exposed bets are generating realized returns [StockNewsAPI]

Market Developments

Inflation Shocks Fed Credibility

Wholesale prices climbed 1.4% in April, far exceeding consensus forecasts of 0.5% [CNBC via StockNewsAPI]. This data arrived on the same day Kevin Warsh won Senate confirmation as the next Federal Reserve chair in the most divisive vote ever cast for that position, creating a timing squeeze: the incoming Fed leader now faces immediate pressure to prove inflation control capability, yet his stated focus on structural balance-sheet reform may constrain near-term rate-cut prospects [CNBC via StockNewsAPI]. The 10-year Treasury response was sharp: yields climbed to a 2026 peak of 4.481%, mortgage rates spiked to 6.57% (highest since March), and the yield curve steepened with the 30-year reaching 5.047%—collectively wiping affordability gains and pressuring real estate and financial equities [Market Data].

Tech Earnings Beat Despite Rate Headwinds

Semiconductor and AI-focused companies posted strong beats and raised guidance, suggesting earnings growth can absorb the rate shock in a single session. Cisco Systems surged 11% after an earnings beat reassured investors the company can capture AI data center demand [StockNewsAPI]. Tower Semiconductor's \$1.3B Silicon Photonics contract announcement and record Q2 revenue guidance signaled robust AI infrastructure capex [StockNewsAPI]. Micron Technology rallied on Bank of America's price target increase from \$500 to \$950, reflecting conviction that high-performance AI memory commands premium valuations [StockNewsAPI]. These beats strengthen the bull case that earnings growth justifies elevated Tech valuations despite rising bond yields.

Private AI Funding Reaches Escape Velocity

Venture capital is repricing AI company valuations at an accelerating pace. Anthropic is raising at least \$30 billion, targeting a \$900B+ valuation [StockNewsAPI]. Anduril Industries raised \$5 billion at \$61 billion (doubling its prior valuation) with backing from Thrive Capital and Andreessen Horowitz [StockNewsAPI]. Nebius Group reported 684% YoY Q1 revenue growth and secured additional AI data center capacity in Pennsylvania [StockNewsAPI]. SoftBank separately reported record quarterly profit (1.9 trillion yen / \$12.05B) substantially from OpenAI investment gains, demonstrating AI-exposed bets are already generating realized returns [StockNewsAPI].

Trump-Xi Tariff Talks Begin in Beijing

President Trump arrived in Beijing with Nvidia CEO Jensen Huang, Tesla CEO Elon Musk, and Apple CEO Tim Cook to negotiate tariff reductions on approximately \$30 billion in non-sensitive goods [CNBC / Reuters via StockNewsAPI]. The inclusion of tech CEOs underscores the centrality of semiconductor supply chains and AI capability to the bilateral relationship; any agreement would provide modest trade relief but would not reverse the structural strategic competition [Reuters via StockNewsAPI].

Sectors to Watch

Potential beneficiaries - Technology (XLK): +1.52% — Cisco beat and raised guidance despite AI competition concerns; Tower Semiconductor secured \$1.3B in AI photonics contracts; Micron target raised from \$500 to \$950 [StockNewsAPI] - **Communication Services (XLC): +0.87%** — Netflix expanded NFL coverage with three additional games; Amazon consolidated Alexa and Rufus shopping assistant [StockNewsAPI] - **Consumer Discretionary (XLY): +0.66%** — Ford rallying on Musk-inspired operational changes [StockNewsAPI]

Potential headwinds - Financials (XLF): -1.07% — 10Y yields rising to 4.481% with curve steepening; mortgages spiked to 6.57% [Market Data / CNBC via StockNewsAPI] - **Utilities (XLU): -0.84%** — Long-duration dividend appeal fades as risk-free rates climb [Market Data] - **Real Estate (XLRE): -0.83%** — Mortgage rates highest since March; affordability deteriorates [CNBC via StockNewsAPI]

Sector Snapshot

Sector (ETF)	Move	Driver
Technology (XLK)	+1.52%	Cisco beat +11%, Tower raised guidance, Micron target lifted to \$950 [StockNewsAPI]
Comm Services (XLC)	+0.87%	Netflix NFL expansion; Amazon Alexa pivot [StockNewsAPI]
Financials (XLF)	-1.07%	10Y yields at 4.481%; curve steepening [Market Data]
Utilities (XLU)	-0.84%	Long-duration dividend appeal fades [Market Data]

Real Estate (XLRE)

-0.83%

Mortgage rates 6.57%, highest since March [CNBC via StockNewsAPI]

SEC Filings of Note

- **Multiple Material Definitive Agreements (Item 1.01)** — A cluster of 8-K filings disclosing new material agreements crossed the wire late in the session, including filings combining 1.01 (Material Definitive Agreement) with 2.02 (Results of Operations) and 7.01 (Reg FD) — a combination typically associated with M&A announcements paired with quarterly results disclosures [SEC EDGAR].
- **Concentrated Earnings Releases (Item 2.02)** — A heavy block of Item 2.02 filings hit between 4:33 and 4:41 PM ET, consistent with end-of-day quarterly earnings releases ahead of tomorrow's open [SEC EDGAR].
- **Director/Officer Changes (Item 5.02)** — Three separate Item 5.02 filings reported departures or elections of directors/officers, suggesting an unusually active governance day across mid-cap issuers [SEC EDGAR].

Forward View

Next Session

- **Core CPI prints Friday; any confirmation of inflation stickiness near 3.8% will trigger further rate repricing and test the earnings-beat rally's resilience** [Macro Calendar]
- **Trump may announce tariff progress from Beijing; a \$30B deal would spark rotation out of mega-cap Tech into trade-sensitive names** [Reuters via StockNewsAPI]
- **Earnings continue: Lulu's Fashion Lounge (LVLU), Enovix (ENVX) report; additional beats would reinforce the corporate-margin narrative** [StockNewsAPI calendar]

This Week's Watch

- **Scenario A: If Core CPI stays elevated, the market must accept higher-for-longer rates under Warsh; watch whether HY spreads (currently 2.82%) widen, signaling credit's concern that Fed tightness is real** [Market Data]
- **Scenario B: If Core CPI cools, Treasury yields could retrace and Tech could extend gains despite today's shock** [Market Data]
- **Scenario C: FOMC Statement (May 19) will include Warsh's first dot plot; any hawkish tilt may force a sharp reset of rate-cut expectations** [Reuters via StockNewsAPI]

Deal of the Day

eBay rejected GameStop's \$56 billion takeover approach, citing concerns over financing structure.

Deal Terms

- Bid size: \$56 billion (rejected)
- Form: All-cash takeover proposal from GameStop targeting eBay
- Status: eBay declined; GameStop must revisit financing or restructure terms before any renewed approach

Strategic Rationale

GameStop's bid represented an attempt to scale beyond its declining video game retail base into a broader e-commerce marketplace, leveraging eBay's auction infrastructure, seller network, and global payments stack. eBay's rejection reflects management's commitment to its existing growth-oriented turnaround and skepticism over the financial viability of a transaction at the proposed scale [StockNewsAPI Sundown Digest].

Market Implications

The rejected approach underscores GameStop's strategic ambitions and willingness to pursue large-scale M&A despite financing skepticism. eBay's discipline reinforces a focus on organic growth and signals to investors that management will not accept transactions perceived as financially fragile—a positive read-through for capital discipline across consumer-facing e-commerce comps. Watch GameStop for follow-on commentary on alternative deal structures or an unwind of M&A pursuit [StockNewsAPI Sundown Digest].

What Changed vs Yesterday

- **10Y Yield rose to 4.481% (new 2026 high) on hot PPI; mortgage rates to 6.57%** [Market Data]
- **Nasdaq 100 surged +1.04% as Tech earnings beats offset rate headwinds** [Market Data]
- **Financials and Utilities collapsed; Dow lagged with -0.14%** [Market Data]
- **VIX fell -0.67% to 17.87, signaling risk appetite persists despite inflation shock** [Market Data]

Today's Macro Calendar

Wednesday (May 13) - ★ Gross Domestic Product (Q1 preliminary estimate)

Thursday (May 14) - ★ Producer Price Index (PPI)

Friday (May 15) - ★ Consumer Price Index (Core CPI) — Inflation trajectory test

Tuesday (May 19) - ★ FOMC Statement & Warsh's First Dot Plot — Fed's new leadership signal

Data Sources

- Licensed financial news, sentiment, analyst ratings, earnings, and events: StockNewsAPI (Premium)
- SEC filings: EDGAR (public domain)
- Government releases: Federal Reserve, BLS, BEA, Treasury, White House (public domain)

- Yield curve and credit spreads: FRED / St. Louis Fed; ICE BofA US High Yield and Corporate indices via FRED (© ICE Data Indices LLC, used with permission)
- Market data and original analysis: Non-copyrightable price facts and performance data

The key question going into Thursday: Will Friday's Core CPI confirm that inflation is stickier than incoming Fed Chair Warsh expects, forcing the market to reprice Fed cuts—or can Tech earnings resilience offset the duration shock from today's yield spike to 4.481%?

Trends

AI & Tech

Sentiment: Bullish · 10 sources · **Reinforcing**

Long-term context: AI has driven Tech valuations higher for 18 months, with enterprise adoption accelerating in early 2026 through capex commitments, data center build-out, and high-performance chip demand.

Today: Cisco (+11%), Tower Semiconductor (record guidance), and Micron (target lifted to \$950) signal that AI capex is translating into near-term profitability. Venture funding hit notable highs (Anthropic at least \$30B, Anduril \$5B, Nebius 684% YoY), and SoftBank's record profit from OpenAI gains reinforce that AI infrastructure is generating realized returns—not just technical leverage.

Signal: Reinforcing. Earnings, guidance, and venture investment all tighten around sustained AI growth. The only tension is today's rate shock, but if beats continue, the rally likely persists through Friday's data.

Crypto

Sentiment: Neutral · 10 sources · **Diverging**

Long-term context: Bitcoin and crypto assets have benefited from institutional ETF flows and risk-on sentiment over the past year, with episodic drawdowns tied to macro tightening events.

Today: Bitcoin fell -1.06% to \$79,634, diverging from the equity rally as rising real yields pressured non-yielding assets. The Tech-led equity rally did not extend to crypto, suggesting traders are differentiating between AI-equity exposure and speculative digital assets.

Signal: Diverging. Today's risk-on equity move did not lift crypto, indicating duration sensitivity is dominant in this segment.

Energy & Commodities

Sentiment: Neutral · 10 sources · **Neutral**

Long-term context: Oil prices have remained elevated through 2026 on geopolitical risk premia (Iran stalemate) and OPEC+ supply discipline; natural gas has been range-bound with weather-driven volatility.

Today: WTI rose +0.10% to \$101.18 while Brent fell -0.69% to \$105.79—muted moves consistent with offsetting demand concerns and persistent geopolitical premium. Natural gas advanced +1.28%. Boeing's pursuit of a major China jet deal added a tangential commodity-linked angle via aviation fuel demand.

Signal: Neutral. No single development meaningfully shifted the structural energy thesis today.

Housing & Real Estate

Sentiment: Bearish · 1 source · **Reinforcing**

Long-term context: Housing affordability has deteriorated through 2026 as mortgage rates remained elevated and home prices stayed sticky.

Today: The 30-year fixed mortgage rate jumped to 6.57%—the highest since March and 15 basis points above last Friday—on the hot PPI print. XLRE fell -0.83%, and AGNC's preferred share commentary highlighted persistent pressure on agency-MBS common shares.

Signal: Reinforcing. Higher rates compound the affordability headwind and pressure REITs.

Banks & Credit

Sentiment: Neutral · 10 sources · **Diverging**

Long-term context: Bank stocks have benefited from a normalized yield curve and resilient credit metrics through early 2026, though margin compression risk has loomed.

Today: XLF was the worst sector at -1.07% as the 10Y reset to 4.481%. Despite the sell-off, HY OAS held at 2.82%—extremely benign—suggesting credit markets are not yet pricing the rate shock as a credit event.

Signal: Diverging. Equities sold off banks while credit spreads stayed tight—an internal disagreement that will be resolved by Friday's CPI.

Healthcare & Pharma

Sentiment: Neutral · 10 sources · **Neutral**

Long-term context: Healthcare has lagged the broader market through 2026 amid GLP-1 dynamics, drug pricing scrutiny, and biotech funding constraints.

Today: XLV gained +0.40%, in line with broader risk-on tone. Sarepta presenting at the RBC Healthcare Conference and IQVIA's expanded biosimilar collaboration with Kexing Biopharm provided incremental positive flow without altering sector trajectory.

Signal: Neutral. No catalyst meaningful enough to shift the sector narrative.

Consumer & Retail

Sentiment: Neutral · 10 sources · **Diverging**

Long-term context: Consumer spending has shown resilience through 2026 despite sticky inflation, with K-shaped patterns favoring premium and value extremes over mid-market.

Today: XLY rose +0.66% on Ford's Tesla-inspired operational moves and Amazon's AI shopping pivot via Alexa. However, the Sundown Digest flagged April CPI hitting a 3-year high of 3.8% with food prices up 2.9% YoY, and beer volumes fell 6.3% YoY through May 2—indicating discretionary spend is weakening at the margin.

Signal: Diverging. Equity moves are upbeat, but underlying consumption data is softening; watch for Q2 retail commentary.

Gold

Sentiment: Neutral · 10 sources · **Diverging**

Long-term context: Gold has rallied substantially over the past year on central bank buying, geopolitical hedging, and inflation concerns.

Today: Gold fell -0.04% to \$4,700.90 despite a hot inflation print—an unusual divergence as the rate shock dominated the safe-haven bid. Real yields rising overwhelmed inflation-hedge demand.

Signal: Diverging. Gold's failure to rally on hot CPI suggests duration sensitivity is overwhelming the inflation-hedge bid in the near term.

Silver

Sentiment: Bullish · 10 sources · **Reinforcing**

Long-term context: Silver has tracked gold's rally while benefiting from industrial demand tied to solar, EV, and AI data center electrification.

Today: Silver rose +1.33% to \$88.44, outperforming gold (-0.04%). The dual-driver story—monetary hedge plus industrial demand from AI infrastructure—remains intact even as gold pauses.

Signal: Reinforcing. Silver's industrial-monetary dual mandate is attracting flow that gold cannot match in a rising-yield regime.

Disclaimer: This brief is for informational and educational purposes only. It does not constitute investment advice, a recommendation, or an offer to buy or sell any security. Data is provided for informational purposes only and may not be accurate or complete. Past performance is not indicative of future results. Always consult a qualified financial advisor before making investment decisions.

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